

WEEKLY MARKETS SUMMARY

Week of September 7–11, 2026

Global Markets Analysis · Nomad Capital · September 2026

10-YR UST —
WEEKLY CHG.**+19 bps**

4.78% → 4.98% · nearing 5%

WTI CRUDE OIL —
WEEKLY CHG.**+10.00%**

\$91.18 → \$100.30 · breaks \$100

DOW JONES —
WEEKLY CHG.**−1.57%**

Hot inflation signals revive hike bets

MERVAL (ARS) —
WEEKLY CHG.**+1.63%**

3,049,122 → 3,098,898 pts

A week in which the rates market stopped waiting for confirmation on both sides of the Atlantic, and ended in the worst possible way for anyone betting on a more flexible Fed. The European Central Bank raised rates to 2.65% on Thursday — its second hike of the year — citing the war in the Middle East and oil above \$100 a barrel for the first time in six weeks. On Friday, August's U.S. CPI came in technically in line with consensus (3.4% year-over-year, core improving to 2.4%), but two soft signals from the same day tipped the balance: core month-over-month surprised to the upside (0.3% vs. 0.2% expected) and, above all, University of Michigan consumer inflation expectations jumped to 4.6% from 4.0% while sentiment collapsed to 47.8. The result: the 10-year Treasury yield jumped 19 basis points to 4.98%, a step away from 5%, Wall Street closed the week in the red — the Dow lost 1.57% — and oil jumped another 10% to top \$100 in WTI as well, with Bab el-Mandeb joining Hormuz as a second energy risk front. In Argentina, the week combined mixed signals: August inflation was the lowest in twelve months (1.7%), but the same INDEC had confirmed days earlier the worst industrial slump in 16 months, with formal private employment accumulating thirteen consecutive months of decline. The Merval, despite the external noise, closed the week up 1.63% in pesos.

1. Timeline of the Week

WEEKLY TIMELINE

Mon 9/7

U.S. and Brazilian markets closed for Labor Day; stocks and Treasuries remain shut, with only futures trading at lower liquidity. Oil extends gains on the escalation between the U.S. and Iran in the Strait of Hormuz; Goldman Sachs warns crude could reach \$120. In Germany, the far-right AfD posts its best-ever result (44%) in Saxony-Anhalt's regional elections, while Chancellor Merz's CDU collapses to under 18%. The market starts pricing in the possibility that the ECB could hike rates "just in case" on Thursday. Argentina: the private REM survey projects August inflation would break below 2% (1.7%), one of the lowest readings of the year.

Tue 9/8

WTI rises 2.74% and Brent 2.48% after Houthi attacks on Aramco facilities in Saudi Arabia and expectations of an Iran-Oman deal to unblock Hormuz. U.S. futures fall and the VIX rises to 15.71 in a risk-off session, with the Nikkei closing 1.70% lower. Economist Claudia Sahm warns that if the Fed bends to Trump's electoral calendar, it would erode its institutional credibility days ahead of the rate decision. Colombia surprises with 6.24% year-over-year inflation in August, its highest level in two years. Argentina's EMBI closes stable at 490 bps.

Wed 9/9

INDEC confirms Argentina's worst industrial slump in 16 months: manufacturing activity fell 5% in July, alongside a similar contraction in construction. The U.S. Strategic Petroleum Reserve falls to 285.4 million barrels, its lowest level since 1982, just as the market loses the ability to pin down how much crude is actually crossing the Strait of Hormuz. In Japan, an upward-revised GDP and the largest real wage increase in five years reinforce expectations that the Bank of Japan will raise its rate to 1.25% this month; the yen touches seven-month highs and the Nikkei falls nearly 2% on the unwinding of yen carry-trade positions. Google announces an investment of at least \$15 billion in AI infrastructure in Finland.

Thu 9/10

The European Central Bank raises rates to 2.50%, its second hike of the year, warning it could need a more restrictive policy if energy-driven inflation persists; the market is already betting on three more hikes. Brent tops \$100 for the first time in six weeks on the Iran-U.S. escalation, which includes a fresh U.S. strike on Iranian tankers and Trump's threat to hit Pickaxe Mountain. The 10-year Treasury yield touches highs last seen in 2023 despite expanded Treasury buybacks. Trump promises a direct \$5,000 payment to every American adult if Republicans hold Congress in November's midterms. INDEC releases Argentina's August inflation: 1.7% monthly, the lowest in twelve months, which the government celebrates in electoral terms. Argentina's EMBI closes 9/9 at 491 bps (-3 bps).

Fri 9/11

August's U.S. CPI confirms disinflation at the margin but with nuance: it rises 3.4% year-over-year (unchanged, in line) and 0.4% month-over-month (in line, though accelerating from 0.1% in July); core improves to 2.4% year-over-year (from 2.5%) but surprises to the upside on the monthly reading (0.3% vs. 0.2% expected). The real trigger for the market's reaction was another data point from the same day: the University of Michigan consumer sentiment index collapsed to 47.8 from 51.7, and one-year inflation expectations jumped to 4.6% from 4.0% — the day's biggest surprise — showing consumers are starting to de-anchor their expectations even though the hard inflation data came in line. The 10-year Treasury yield jumped 19 basis points to 4.98%, a step away from 5%. Wall Street closes the week in the red, with the Dow losing 1.57%, the S&P 500 0.80%, and the Nasdaq 100 0.59%. WTI jumps 10% for the week and tops \$100, while Brent had already been trading above that level; the escalation deepens as the Houthis reach Perim Island, just 50 km from the Bab el-Mandeb strait, adding a second energy risk front to Hormuz. Trump rejected two requests from Saudi Arabia to bomb the Houthis, avoiding direct U.S. military involvement on that front; Iran and Gulf states will meet Monday in Salalah, Oman. In Argentina, the wholesale dollar rises for a third consecutive day, the Central Bank buys just 1% of the volume traded, and reserves shed \$111 million; formal private employment accumulates 13 consecutive months of decline. Despite the external noise, the Merval closes the week up 1.63% in pesos.

2. Weekly Asset Price Changes

Prior close: Friday 9/4. Reference close: Friday 9/11.

Asset	Close Fri 9/4	Close Fri 9/11	Weekly chg.
S&P 500	7,718.60	7,656.98	-0.80%
Nasdaq 100	29,544.15	29,368.44	-0.59%
Dow Jones	53,414.25	52,573.29	-1.57%
VIX	14.53	15.84	+9.02%
10-Yr UST	4.78%	4.98%	+19 bps
WTI (spot)	\$91.18	\$100.30	+10.00%
Gold (spot)	\$4,476.00	\$4,390.40	-1.91%
Bitcoin	\$79,707.05	\$77,267.82	-3.06%
EMBI Global (Argentina)	494 bps	491 bps*	-3 bps

Argentina local market	Close Fri 9/4	Close Fri 9/11	Weekly chg.
GD30D	\$0.5810	\$0.5817	+0.12%
GD35D	\$0.8011	\$0.7955	-0.70%
S&P Merval (ARS)	3,049,121.50	3,098,897.50	+1.63%
S&P Merval (USD MEP)	1,998.44	2,014.68	+0.81%
USD MEP (AL30)	\$1,525.75	\$1,538.16	+0.81%

* Argentina's EMBI reflects the last confirmed official close (Thursday 9/10); JP Morgan publishes with a lag. GD30D, GD35D, and MEP verified on Balanz Productores at Friday 9/11's close. U.S. prices correspond to Friday 9/11's close, already reflecting the full market reaction to August's CPI.

3. Key Drivers of the Week

KEY DRIVERS

The real driver wasn't the CPI itself, but the de-anchoring of inflation expectations

August's CPI, taken in isolation, shouldn't have generated Friday's market reaction: headline held at 3.4% year-over-year unchanged and core year-over-year even improved to 2.4% from 2.5%, both in line with consensus. What did surprise was the detail: core month-over-month rose 0.3% versus the 0.2% expected, and above all the University of Michigan consumer sentiment index collapsed to 47.8 from 51.7 while one-year inflation expectations jumped to 4.6% from 4.0% — the day's biggest surprise. When consumers start de-anchoring their price expectations even as the hard data comes in line, the Fed loses the argument that inflation is just a transitory statistical phenomenon. It's exactly the kind of soft signal that can weigh as much as or more than the hard data in a rate decision, and explains why the 10-year Treasury jumped 19 basis points to 4.98% even though, on paper, the CPI shouldn't have moved the needle that much.

Oil tops \$100 in WTI as well, with a second energy risk front

The Houthis took the port of Mocha and reached Perim Island on Friday, just 50 km from the Bab el-Mandeb strait, while Saudi-backed Yemeni forces retreat. Trump rejected two requests from Mohammed bin Salman to bomb the Houthis, avoiding direct U.S. military involvement on that front. WTI jumped 10% for the week and Brent had already been trading above \$100 since Thursday — the first time in six weeks — not because of speculative buying but because the physical market lost the ability to precisely measure how much crude is still crossing Hormuz: more and more tankers are sailing with transponders switched off.

The U.S. Strategic Petroleum Reserve enters the crisis with no cushion

Reserves fell to 285.4 million barrels, their lowest level since 1982, just as uncertainty over the physical flow through Hormuz — and now Bab el-Mandeb as well — is at its peak. Washington no longer has the tool it used in 2022 to contain supply shocks through SPR sales. If the escalation worsens and crude holds this week's levels, the White House would face that crisis without the buffer it used last time — a structural vulnerability the market should start pricing in, beyond the immediate conflict.

Argentina: the best inflation reading in a year coexists with the worst industrial data in 16 months

INDEC confirmed August inflation of 1.7%, the lowest in twelve months, which the government celebrates in electoral terms. The same INDEC had reported days earlier a 5% drop in July's industrial activity, the worst in 16 months, along with a similar contraction in construction and 13 consecutive months of formal private employment decline. The Central Bank bought just 1% of the volume traded in the last session and reserves shed \$111 million, with the wholesale dollar rising for a third consecutive day. Despite that backdrop and the week's external noise, the Merval closed up 1.63% in pesos and 0.81% in MEP dollars, sustaining the gradual country-risk compression narrative.

4. Signals to Watch — Week of September 14–18

SIGNALS TO WATCH

Fed meeting on September 15-16

It's the most immediate catalyst for next week, after a CPI that reinforced hike bets. Market odds already treat the hike as largely resolved; if the Fed surprises by holding rates despite this week's data, that expectation would unwind abruptly, with a direct impact across the U.S. yield curve.

Path of the 10-year Treasury yield near 5%

Friday's 19-basis-point jump left it a step away from that psychological threshold. If it breaks through it on a sustained basis in the coming days, it would be the first confirmation that the fixed-income market is validating a regime of structurally higher real rates, not just reacting to a single data point.

Iran-Gulf meeting in Salalah, Oman, on Monday 9/14

It's the first formal attempt to agree on a temporary framework for Hormuz since this week's escalation began. If Saudi Arabia opts for a ceasefire that locks in Houthi gains in Bab el-Mandeb, the signal to Iran would be that escalation pays off, with a direct and prolonged impact on oil's risk premium.

Sustainability of the Argentine Central Bank's reserve accumulation

With the Central Bank buying just 1% of the volume traded in the last session and reserves slipping, the key question is whether the economic team can resume its accumulation pace before dollar demand intensifies ahead of October's legislative turnover.

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